ASIA SOCIETY POLICY INSTITUTE

ISSUE PAPER



BY JANE MELLSOP

JANUARY 2026

'TRADE IS IN OUR BLOOD': MOMENTUM BUILDS IN ASIA FOR EXPANDING RULES-BASED ECONOMIC COOPERATION

ABOUT THE AUTHOR

Jane Mellsop is Director of Trade, Investment, and Economic Security at the Asia Society Policy Institute (ASPI) in Washington, D.C. She previously served as a diplomat with the New Zealand Ministry of Foreign Affairs and Trade, and was Senior Trade Adviser to New Zealand's Minister for Trade and Export Growth.

ABOUT THE ASIA SOCIETY POLICY INSTITUTE

With a solution-oriented mandate, the Asia Society Policy Institute tackles major policy challenges confronting the Asia-Pacific in security, prosperity, sustainability, and the development of common norms and values for the region.

EXECUTIVE SUMMARY

The trade world experienced unprecedented upheaval in 2025, but Asia still sees the rules-based trading system as the strongest foundation for its future. Trade is "in the blood" in Asia, and these countries continue to forge ahead with trade arrangements with multiple partners—so-called plurilateral trade arrangements—to further integrate their economies, provide certainty for businesses, promote innovation, and enhance economic growth.

However, it has not been all smooth sailing, particularly at a time when evolving trade policy of the United States is demanding significant attention from all economies. Regional plurilateral agreements, such as the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) with 12 parties and the Regional Comprehensive Economic Partnership (RCEP) with 15 parties, have brought benefits to their members; however, to remain relevant, they need to be updated to keep pace with emerging developments. For the CPTPP, this has not been easy given its broad membership with diverse interests that hampers progress toward consensus on ambitious upgrades. Expanding the membership of these agreements or even instituting novel dialogues with other trading blocs as the CPTPP has started with the EU and ASEAN, not only provides opportunities to access new markets and expand integration but also sends an important signal in support of rules-based trade at this critical time.

Asia should not be complacent with the trade rules already in place. The region would benefit from harnessing the current moment when countries are focused on diversifying markets and suppliers to pursue new plurilateral cooperation and agreements in specific sectors or to address specific trade challenges, such as critical minerals, an economic security framework, or green technology. The first two of these in particular are of interest to the current U.S. administration, though Asian countries would also need to consider how China might view any new arrangements. Importantly, countries are more willing now to consider formats other than legally binding comprehensive agreements to support greater economic integration with like-minded partners, such as agreed principles, guidelines, or concrete areas of cooperation to unlock trade and bring benefits to stakeholders, such as the new Future of Investment and Trade Partnership (FITP).

The Asia Society Policy Institute and the Asia Society take no institutional position on matters of public policy and other issues addressed in the reports and publications they sponsor. All statements of fact and expressions of opinion contained in this paper are the sole responsibility of its authors and may not reflect the views of the organization and its board, staff, and supporters.

©2026 The Asia Society. All rights reserved.



Will countries seeking greater economic integration with like-minded partners focus increasingly on agreed principles and guidelines, rather than legally binding rules?

While the current global trading context provides impetus for progressing plurilateral initiatives that deepen economic integration among partners, one challenge is the lack of an obvious leader in the region—country or person—to drive such initiatives forward. A group of like-minded countries, such as Australia, Japan, Republic of Korea, and Singapore, could step up and lead the charge in support of increased plurilateral integration and the rules-based system. However, even with the best of intentions, countries will be constrained by their own limited resources for trade negotiations and implementation, while developing countries in particular need capacity building, including from high-quality investments, to make any trade deal successful.

This report shares these insights and more from roundtable discussions and interviews with more than 60 experts from both inside and outside government across Asia and the United States on how like-minded countries can preserve and enhance the rules-based trading system through plurilateral arrangements.

FIVE CRITICAL AREAS TO WATCH IN 2026

1. Will the support for trade that prevails in most of Asia become strained amidst the ongoing turbulence?
2. Will CPTPP and RCEP members be able to agree to substantive and ambitious improvements to keep these agreements on the cutting edge and underscore the value of the rules-based system?
3. Will the new U.S.-led Pax Silica initiative on the silicon supply chain be expanded and deliver concrete benefits? Will other new plurilateral arrangements focused on critical minerals and economic security emerge?
4. Will countries seeking greater economic integration with like-minded partners focus increasingly on agreed principles and guidelines, rather than legally binding rules?
5. Which countries, and which world leaders, will step up to lead the advocacy for the rules-based trading system and drive forward plurilateral initiatives?

INTRODUCTION

Challenges to the rules-based global trading system have risen sharply in recent years, with the United States and China, the world's two largest economies, leading the charge toward unilateral action and increasing calls for reform of the World Trade Organization (WTO) rules. While the concept of "free and open trade" is coming under mounting pressure, the rules-based system that has underpinned global trade since the end of WWII has brought the certainty and investment to deliver impressive economic growth to Asia. East Asia and the Pacific's GDP surged more than 30-fold from 1975 to 2022, and the region's share of global merchandise exports jumped from 14% of world trade in 1975 to nearly 38% by 2024.



Asia has also been at the forefront of concluding novel sectoral trade arrangements covering emerging issues such as digital trade, green trade, and supply chain security.

A key element of Asia's growth story has been the pursuit of plurilateral trade and economic agreements in recent years. These agreements, which involve more than two countries, have brought economies closer and stimulated economic growth in diverse areas, from agricultural production to digital trade. So-called trading blocs have formed, in which countries have mutually opened up their markets, streamlined regulatory processes, integrated supply chains, and supported deeper business connections. More than 30 plurilateral agreements are now in force involving Asian countries, with significant agreements including the Comprehensive and Progressive Agreement for Trans-Pacific Partnership (CPTPP) with 12 parties,[1] the Regional Comprehensive Economic Partnership (RCEP) with 15 parties,[2] and the Association of South East Asian Nations (ASEAN) Free Trade Area with 11 South East Asian parties.[3] Asia has also been at the forefront of concluding novel sectoral trade arrangements covering emerging issues such as digital trade, green trade, and supply chain security.[4]

Although there has been a rise in protectionism and trade-distorting measures across the globe in recent years, there are also determined efforts in Asia to move new trade negotiations forward, to expand and update existing trade agreements, and to enter into new and innovative trade dialogues and cooperation arrangements with partners.

Against this backdrop, the Asia Society Policy Institute (ASPI) engaged with experts from across Asia and the United States in the second half of 2025 to discuss how plurilateral trade arrangements can uphold and strengthen the rules-based system as a proven mechanism to secure economic gains for the region and beyond. This report shares the key insights gained from those discussions and identifies key areas for policymakers to monitor in 2026.

KEY TERMS USED IN THIS REPORT

Rules-Based Trading System: Trade within the framework of the World Trade Organization (WTO) agreements is described as "rules-based." The rules-based trading system extends to bilateral and plurilateral free trade agreements and arrangements that are consistent with the WTO agreements.

Plurilateral: Arrangements that involve more than two countries but do not extend to multilateral trade arrangements where the entire WTO membership is engaged. For this project, we have deliberately not focused on the plurilateral agreements that have arisen out of the WTO, such as the Domestic Services Regulations Agreement, Agreement on Investment Facilitation for Development, and the Joint Statement Initiative on Electronic Commerce.

Like-Minded Countries: Countries that share similar values and interests but need not be in formal alliances.

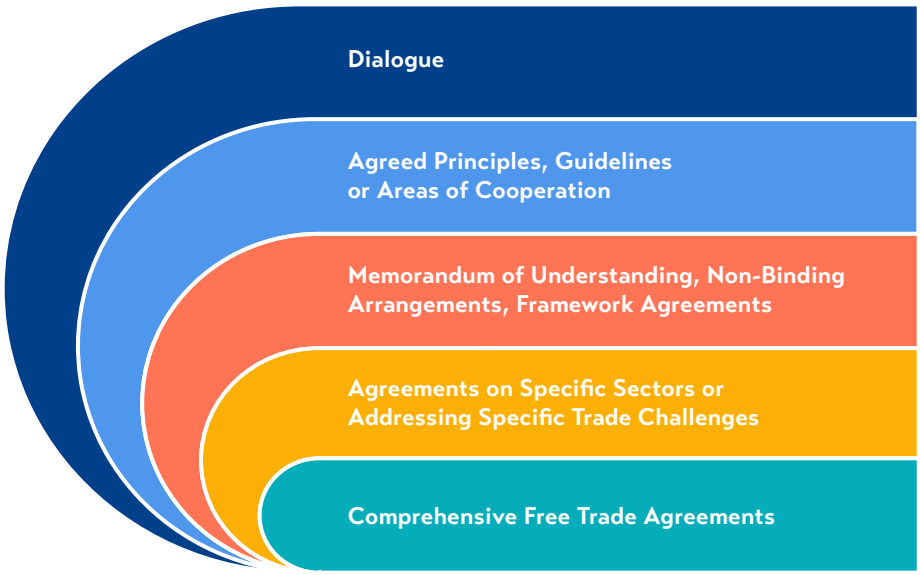
CPTPP: The Comprehensive and Progressive Agreement for Trans-Pacific Partnership, a plurilateral free trade agreement with 12 parties stretching from Asia to South and North America and Europe, entered into force in December 2018. The CPTPP parties represent more than 14% of global GDP. The CPTPP evolved from the Trans-Pacific Partnership, which was signed in February 2016 but did not enter into force following the U.S. withdrawal in 2017.

RCEP: The Regional Comprehensive Economic Partnership, a plurilateral free trade agreement involving China, Japan, Republic of Korea, Australia, New Zealand, and 10 Southeast Asian members of ASEAN, entered into force in January 2022.



Although there has been a rise in protectionism and trade-distorting measures across the globe in recent years, there are also determined efforts in Asia to move new trade negotiations forward, to expand and update existing trade agreements, and to enter into new and innovative trade dialogues and cooperation arrangements with partners.

FIGURE 1: TYPES OF ECONOMIC & TRADE COOPERATION



INSIGHTS FROM ASIA

ASPI engaged with more than 60 experts from government, business, academia, think tanks, and former officials from July to October 2025 to hear Asia's perspectives on the value of like-minded countries coming together to enhance economic integration through plurilateral trade arrangements.

These engagements included roundtable discussions in Tokyo in partnership with the Institute of Governance, in Singapore in partnership with the Hinrich Foundation, and in New Delhi, supplemented with interviews in those capitals. In addition, ASPI held virtual interviews with a range of experts from Australia, Indonesia, Republic of Korea, and New Zealand, as well as a virtual roundtable with U.S. experts.

The frank perspectives that were shared highlighted the opportunities available to Asia through plurilateral trade and economic arrangements and emphasized that the time was right to pursue these plurilateral initiatives with more vigor. But experts were also clear that there are a number of challenges that arise for Asian countries navigating this landscape, and the path to closer economic engagement among like-minded countries may be bumpy.

As Trading Nations, the Rules-Based System is Still Critical for Asia

Throughout the region, experts strongly believed that supporting the rules-based system clearly remained in their interests. As one expert noted, "a world in which it's based on power rather than the rules doesn't work for any of us." Other experts added that the rules-based trading system was, in fact, the only real option available.

Several experts also highlighted that Asian nations were quintessentially trading nations: "trade is in our blood," one Southeast Asian expert noted. Overall, the region's populace remained highly supportive of trade, particularly as they could see firsthand the benefits of opening up



As one expert noted, "a world in which it's based on power rather than the rules doesn't work for any of us."

markets and greater economic integration with partners. One expert commented that "trade is not the villain as it is in other places," acknowledging the contrast with the views of many in the United States. Public opinion polling shows 92% of respondents in the Republic of Korea, 86% in Indonesia and the Philippines, 72% in Japan, and 71% in India agree that trade is good for their country. Some experts still cautioned that the consensus around trade was becoming more fragile, especially as China's export surges of artificially cheap goods started to have more of an impact in the region.

Several discussants also emphasized the importance of Asian governments harnessing the current moment to reinforce the value of the rules-based system. For example, some Southeast Asian interviewees argued that the current situation provided the impetus for ASEAN to speed up its regional integration and shore up entry into other markets through plurilateral agreements. Several others lamented that, to date, not enough urgency was attached to addressing the current challenges to the global trading system at the political level, the technocrat level, and among the people. A stronger sense of "crisis" was needed to galvanize governments into meaningful action.

Expanding and Updating Existing Agreements Will Increase the Benefits and Keep the Rules Relevant

Overall, there was a general consensus that plurilateral trade arrangements could build on, extend, or fill gaps in the existing trade rules, thereby providing additional predictability and certainty for business. The CPTPP was highlighted as a success, having spurred economic integration among the parties and brought benefits to its members. For example, Japan's[5] two-way trade in goods with the CPTPP parties grew by over half from 2019 to 2024, while Vietnam's[6] increased by almost one third, and Australia's[7] grew by nearly 30%. Experts also referred to the advantages for Asia of being at the forefront of plurilateral agreements that tackle emerging issues and develop new rules that can set the benchmark, such as the Digital Economy Partnership agreement, now with four parties,[8] and the ASEAN Digital Economy Framework Agreement that was concluded in 2025. Similarly, new agreements such as the Agreement on Climate Change, Trade and Sustainability, the Indo-Pacific Economic Framework for Prosperity (IPEF) Clean Economy Agreement, and negotiations underway on the Green Economy Partnership Agreement (GEPA) between New Zealand, Singapore, and Chile, highlighted that countries in Asia were working together to more effectively manage the climate and trade interface.

Modernizing the CPTPP and RCEP agreements

However, many discussants were quick to add that as the trade world was not standing still, the rules should not either—governments need to be constantly reviewing and improving existing agreements. While the CPTPP was often championed as the gold

WHAT TO WATCH

- Will the support for trade that prevails in most of Asia become strained in 2026 amid the ongoing turbulence?
- Will Asia rise to the occasion and take advantage of the current moment to further bolster the rules-based system that has served it so well?



There was concern that the CPTPP was beginning to suffer from the same difficulty in reaching consensus on ambitious outcomes that has hampered progress in multilateral fora.

standard among regional free trade agreements, it would benefit from updating its 10-year-old provisions, such as in the areas of digital/e-commerce, sustainability, and supply chain management, as well as strengthening its weak institutional framework. CPTPP members have been reviewing the agreement for three years, but progress has been slow. In November 2025, CPTPP members announced that they have identified five areas of the current text that should be updated[9] and agreed to develop initiatives in an additional six areas,[10] including economic coercion and market-distorting practices. But several experts cautioned that securing real gains through significant improvements to the agreement was increasingly difficult because of the large number of parties and their varied levels of development, highlighting that "the internal dynamics don't currently support the kind of ambition that some [parties] want for it." This modest pace of progress reflected a broader hesitancy among some CPTPP members to deepen commitments given the challenges they face in meeting existing obligations, for example, in the areas of labor and environmental standards and intellectual property protection. Some members were also preoccupied with the impact of the current uncertain trade environment, and this distraction affected their appetite for an ambitious review. There was concern that the CPTPP was beginning to suffer from the same difficulty in reaching consensus on ambitious outcomes that has hampered progress in multilateral fora.

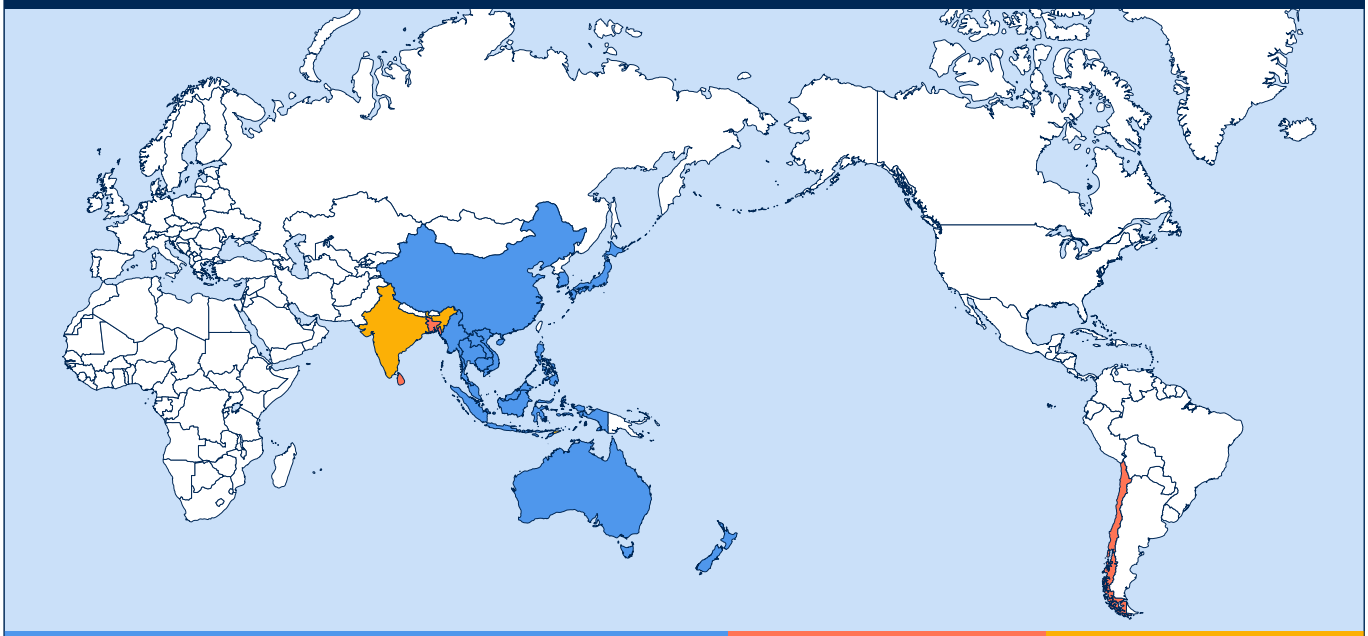
Some experts highlighted the practical value of RCEP, noting, for example, that it is the most widely used trade agreement by Japanese businesses and arguing it should not be underestimated as an important building block, as global supply chains fragment into more resilient regional networks. Between 2022 and 2024, intra-RCEP trade grew about 8%, and the World Bank projects that RCEP has the potential to uplift 27 million additional people to middle-class status by 2035. Yet others were skeptical of RCEP's true value and emphasized the need for RCEP's provisions to be improved given its low level of liberalization. In addition, RCEP needs to be updated to maintain its relevance, as bilateral deals among RCEP parties are continually (and more easily) updated.

Broadening the membership of agreements

There was a shared view that expanding the membership of these plurilateral agreements was an important step in support of the rules-based system—in terms of both the substance and the symbolism of reinforcing the value of rules themselves. In 2025, the Philippines and the United Arab Emirates (UAE) reportedly joined the list of seven other economies[11] that have already applied to join CPTPP. A number of experts across the region highlighted the importance of Indonesia's CPTPP application, symbolically for ASEAN engagement in the agreement but also because of its economic weight. The Republic of Korea also professed to be actively considering CPTPP membership after its change of government in 2025, with several experts from Northeast Asia noting that while it would be beneficial for the Republic of Korea economically, domestic political issues, particularly in agriculture, remained the key obstacle. The most recent CPTPP Commission meeting also reconfirmed that all applicants for accession would need to meet the high standards of the agreement, as well as demonstrate a pattern of compliance with trade commitments, pointing toward a lengthy process for many aspiring members.

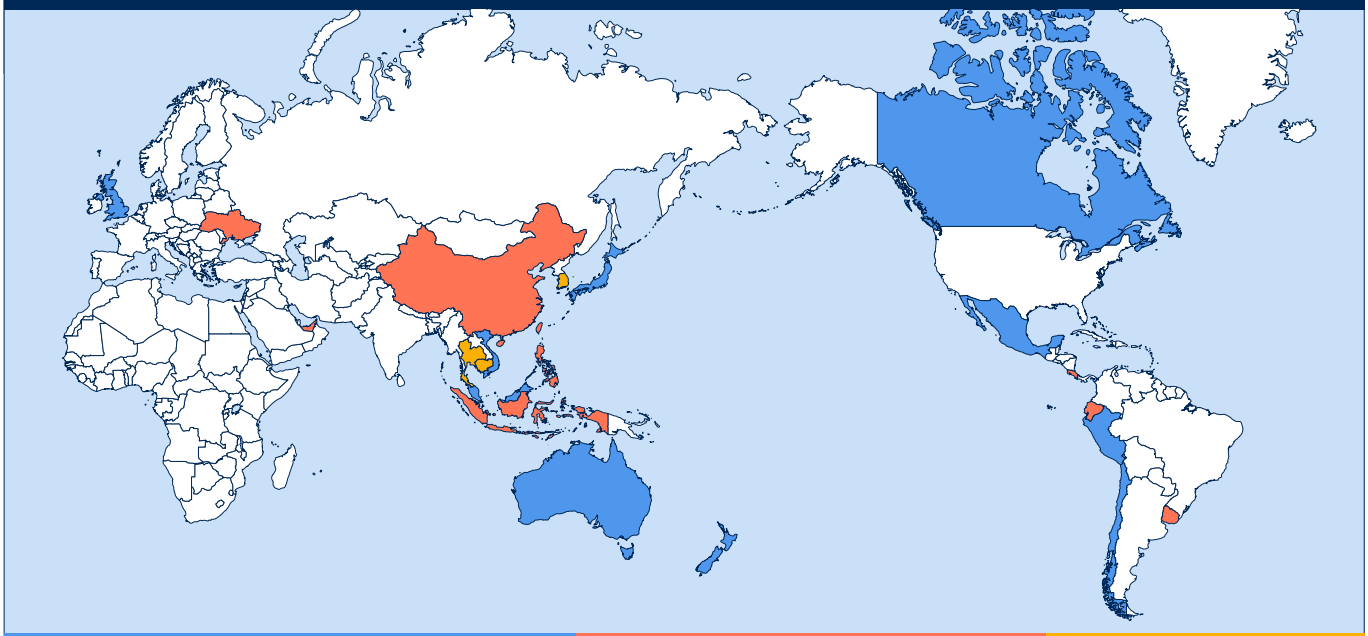


FIGURE 2: REGIONAL COMPREHENSIVE ECONOMIC PARTNERSHIP (RCEP)



PARTIES TO THE RCEP				FORMAL APPLICANTS		POTENTIAL APPLICANTS
Australia	Indonesia	Myanmar	Singapore	Bangladesh	Hong Kong	India
Brunei	Japan	New Zealand	Thailand	Chile	Sri Lanka	Timor Leste
Cambodia	Laos	Philippines	Vietnam			
China	Malaysia	Republic of Korea				

FIGURE 3: COMPREHENSIVE AND PROGRESSIVE AGREEMENT FOR TRANS-PACIFIC PARTNERSHIP (CPTPP)



PARTIES TO THE CPTPP			FORMAL APPLICANTS			POTENTIAL APPLICANTS
Australia	Japan	Peru	China	Philippines	Ukraine	Cambodia
Brunei	Malaysia	Singapore	Costa Rica	Taiwan	Uruguay	Republic of Korea
Canada	Mexico	United Kingdom	Ecuador	United Arab Emirates		Thailand
Chile	New Zealand	Vietnam	Indonesia			



A government interlocutor from Asia summarized the views of many: "the concept of the EU and CPTPP coming together is as important, if not more important, than what is actually produced."

Meanwhile, RCEP parties have also been active considering accession requests, with RCEP leaders agreeing in October 2025 to advance the accession process of applicants Bangladesh, Chile, Hong Kong, and Sri Lanka. Several interviewees drew attention to the significance of the discussion in India about possibly rejoining RCEP. Some experts noted that the pressure India faced from new U.S. measures in 2025 had contributed to India's growing flexibility with respect to trade agreements. One Indian expert commented that there was growing recognition across government, industry, and academia that trade must once again serve as a core growth engine rather than relying solely on consumption and investment. Nevertheless, the general view was that the challenge China presented for India had only increased since India left RCEP in 2019. Despite the apparent thawing in relations between Indian Prime Minister Narendra Modi and Chinese President Xi Jinping, experts were overall skeptical that India would be moving on RCEP accession anytime soon. A few Indian experts floated the suggestion that RCEP members should consider "modified participation" for India—such as specific rules of origin and safeguards to better address Chinese import surges—and consider innovative and practical ways to engage India's interest in membership.

Dialogue as a first step toward greater economic integration

Many interlocutors highlighted the value in the new dialogues that started in 2025 between the CPTPP trading bloc and the EU and with ASEAN. At this time in particular, engagement and cooperation in support of open and rules-based trade were described as critical. A government interlocutor from Asia summarized the views of many: "the concept of the EU and CPTPP coming together is as important, if not more important, than what is actually produced." Interviewees recognized cooperation and economic integration could be supported in many ways, and dialogue was seen as a valuable first step for these trading blocs. These dialogue meetings highlighted future collaboration on areas such as digital trade, investment facilitation, and supply chain resilience. On the other hand, some viewed these new dialogues as a distraction: the priority at this time should instead be deepening the CPTPP commitments via an ambitious review. It was also unclear what concrete outcomes for businesses could be achieved through these dialogues, and at what pace.

WHAT TO WATCH

- Can CPTPP members overcome their differences to agree on meaningful updates to the agreement and ensure it responds to emerging trade challenges and supports further economic integration?
- How quickly can CPTPP members advance the membership application from the significant Asian player Indonesia, and will the Republic of Korea be able to overcome domestic sensitivities to finally submit its application to join?
- Will CPTPP dialogues with the EU and ASEAN lead to substantive outcomes that will bring real benefits to these economies?
- Will RCEP members be willing to develop any innovative solutions to bring India back into the fold?



"Why can't we incorporate security and resilience into models of trade so that we're no longer looking for economic efficiency and comparative advantage, we're looking for resilience, adjusted economic efficiency, and comparative advantage?"

Opportunities for New Plurilateral Agreements Should Be Advanced with Priority

Furthermore, there was a shared view that new trade and economic arrangements had an important role to play in signaling that predictability, transparency, and rules in trade still mattered. In particular, many experts were supportive of identifying specific sectors or global challenges that were ripe for plurilateral cooperation and pursuing specific trade agreements in these areas as a priority to fill the gaps. Some thought leaders suggested that such agreements, while valuable in their own right, could also potentially be integrated into broader frameworks later, such as the CPTPP.

Critical minerals attracted significant support as a topic for a new plurilateral arrangement. Such a plurilateral could, for example, build on the various bilateral arrangements between Asian countries that are already in place, such as Australia's arrangements with Japan, Republic of Korea, India, and Indonesia, and Japan's arrangement with India. It could also draw on the work developed through the earlier U.S.-led Minerals Security Partnership to include further substantive provisions. This is an area of interest to the current U.S. administration, which concluded critical mineral arrangements in 2025 with Malaysia, Australia, Thailand, and Japan, recently launched the Pax Silica initiative focused on the silicon supply chain with eight partners, and in January announced new negotiations covering processed critical minerals and their derivative products.

Several discussants also favored a new plurilateral economic security framework, which could address topics such as emerging technology cooperation and supply chain resilience. As one Southeast Asian thought leader questioned: "Why can't we incorporate security and resilience into models of trade so that we're no longer looking for economic efficiency and comparative advantage, we're looking for resilience, adjusted economic efficiency, and comparative advantage?" However, experts also acknowledged that a key challenge to establishing such a new plurilateral framework is the different perspectives of each country on what is needed for their own economic security. Given the interest of many countries in Asia in engaging the United States in new trade initiatives, an economic security arrangement was also highlighted as a priority area because of the current U.S. focus on this issue. AI and digital were other sectors that some saw as "a window through which the U.S. can be persuaded that its … self interest lies with rules."

Green technology was also identified as the "sector of the future," as countries sought better ways to trade in clean energy. Others highlighted the importance of business identifying where new agreements would be most useful, adding that these needed to translate into tangible opportunities.

Some interviewees underscored that countries would also need to consider how China might view any new arrangements, given the close economic linkages of Asian countries with China. Any trade initiatives perceived to be anti-China are likely to make Asian partners nervous. Likewise, many countries were also cognizant of how new agreements would be viewed by the United States, and experts generally agreed that it was important to leave the door open for the United States to join arrangements at a



There is value in less formal formats for economic integration that allow for an exchange of ideas at a time of rapid change in the global trading system.

later date. While there was some hope that a plurilateral approach centered on U.S. allies could "eventually pull the U.S. back in," the region could not wait for the United States.

Discussants throughout the region stressed that new trade arrangements need not take the form of legally binding comprehensive free trade agreements (FTAs), which can take years to negotiate. There is value in less formal formats for economic integration that allow for an exchange of ideas at a time of rapid change in the global trading system. Options for new arrangements included developing agreed principles, norms, standards, behaviors, and guidelines, as well as concrete areas of cooperation to address behind-the-border trade measures, which were all seen as potentially providing benefits to stakeholders. One example of this new type of arrangement is the Future of Investment and Trade Partnership, launched in September 2025 and now with 16 members, including four from Asia. This arrangement is described as a mechanism for collaboration and practical action and involves members working together to address non-tariff barriers and emerging trade issues, and to generate trade and investment opportunities among members. Unlike a traditional FTA, it does not involve any binding rules or market access provisions.

Countries Face Some Headwinds

There was a broad view that systemic challenges would also impact progress for plurilateral initiatives. One identified challenge was the perceived leadership gap in driving forward plurilateral trade and economic initiatives. One expert observed that "leadership requires the convening power of a major economy," with several experts pointing to the EU as a contender given its increased engagement in Asia, the perception of the EU as a credible bridge builder and the potential to eventually draw in the major powers of the United States and China. Middle powers, such as Australia and Japan, were also suggested as countries to lead the charge in support of the rules-based system, although some cautioned that the political capital of Japan's current leadership may be too weak at present. Leadership also requires making sacrifices, offering concessions, and bearing some costs to move things forward; several experts questioned whether Japan, or even the EU, would fall into this camp. In addition, individuals—as opposed to the country—matter in building a durable consensus. The personality, standing, and longevity of an individual leader were important factors, with some suggesting there were no obvious candidates that fit the bill at present.

On the other hand, some believed that no single leader was needed. Instead, several

WHAT TO WATCH

- Will the new U.S.-led Pax Silica initiative expand its scope or add new members, and will other new plurilateral arrangements focused on critical minerals cooperation emerge soon?
- Will the United States be drawn into any new plurilateral sectoral or functional arrangements in 2026?
- Will countries seeking greater economic integration with like-minded partners focus more and more on agreed principles and guidelines, rather than legally binding rules?



While thought leaders may be able to develop multiple suggestions for preserving and enhancing the rules-based system, governments face constraints in moving multiple new ideas forward at once, no matter how valuable they might be.

countries, such as Australia, Japan, Republic of Korea, and Singapore, could together form a "basket of like-minded countries" that advocated for the rules-based system and drove forward progress on greater economic integration. As one expert put it: "it really comes down to groups of countries, who are the middle powers that care about and want to invest in and strengthen the rules-based system … [they] need to work together and form a network, an alliance … to make sure that we are making those strong arguments on why it matters to our businesses, to our economies, and to our consumers."

Countries in Asia have limited resources to put into trade negotiations (with some much more limited than others), and it is therefore essential that countries prioritize negotiations and direct their resources to the areas of greatest benefit. This capacity challenge is particularly acute as countries grapple with responding to U.S. trade policy changes. While thought leaders may be able to develop multiple suggestions for preserving and enhancing the rules-based system, governments face constraints in moving multiple new ideas forward at once, no matter how valuable they might be. And, as country priorities vary, the opportunities for plurilateral cooperation can be difficult to align.

While many countries are championing diversification as a response to the current trade turmoil, governments also need to realistically assess the level of development and expertise of new partners. Several interviewees highlighted that some developing countries had neither the infrastructure nor the financial systems to support increased trade and economic integration, and their engagement in new arrangements might therefore be less sustainable. High-quality infrastructure investment was seen as a critical factor in achieving valuable economic integration with developing country partners, alongside more traditional capacity building.

Finally, there was a general consensus that political or security tensions spill over into trade relations, and this linkage complicates progress in plurilateral trade arrangements. For example, while India would likely carefully consider the economic value in joining RCEP, the overall state of the China-India relationship would also loom large in any decision. Similarly, the reliance on the United States for defense and security for countries such as Japan and the Republic of Korea was a critical element for these countries as they assessed what steps to take to diversify and deepen trading relationships.

WHAT TO WATCH

- Which countries, and which individual leaders, will step up to lead the advocacy for the rules-based trading system and drive forward plurilateral initiatives?
- How will the speed and content of plurilateral initiatives be constrained by the finite resources that Asian countries can commit to them?
- Will the push for diversification amount to "too much, too fast" and result in non-sustainable outcomes for some partners?



The time is ripe for like-minded countries across Asia to advance their goals of working together to increase economic integration and thereby continue to elevate their economic growth and prosperity.

KEY POLICY RECOMMENDATIONS FROM EXPERTS

- Asia needs to better harness the current moment to reinforce the value of the rules-based trading system, such as by ASEAN speeding up its regional integration and entry into other markets through plurilateral agreements.
- CPTPP members should prioritize finalizing ambitious updates to the 10-year-old provisions, particularly in the areas of digital/e-commerce, sustainability, and supply chain management, and further strengthen its weak institutional framework.
- RCEP also needs to be updated to address low levels of liberalization in the original text and, in particular, to ensure its relevance is maintained as bilateral deals are continually being updated.
- Both CPTPP and RCEP should expand their membership as a priority, including as that serves an important role of underscoring the value for economies of commitment to the rules-based system.
- Like-minded countries should pursue new plurilateral arrangements that focus on specific sectors or trade challenges, such as in the areas of critical minerals, AI, economic security, or green technology. Countries should also utilize the wide range of options for increased economic cooperation, from dialogue through to legally binding comprehensive free trade agreements.
- Countries that are strong supporters of the rules-based system, such as Australia, Japan, Republic of Korea, and Singapore, should take the joint lead in advancing new plurilateral initiatives among like-minded partners.
- As countries embark on new economic cooperation arrangements with developing countries, it is critical to include high-quality infrastructure investment alongside more traditional capacity building.

CONCLUSION

Trade matters to Asia, and navigating today's turbulent trade waters is not easy. But the time is ripe for like-minded countries across Asia to advance their goals of working together to increase economic integration and thereby continue to elevate their economic growth and prosperity. Whether that be through enhancing and expanding existing plurilateral agreements, exploring new sectoral agreements or limited trade agreements that address a specific problem, or even launching discussions that focus on achieving agreed principles or standards, this cooperation will demonstrate the continued relevance and benefits of a trading system that is grounded in agreed rules and baselines rather than might. The key question is whether Asia is able and ready to give this the necessary priority and garner the leadership and resources to drive it forward.



ENDNOTES

[1] CPTPP members: Australia, Brunei, Canada, Chile, Japan, Malaysia, Mexico, New Zealand, Peru, Singapore, United Kingdom, and Vietnam.

[2] RCEP members: Australia, Brunei, Cambodia, China, Indonesia, Japan, Lao PDR, Malaysia, Myanmar, New Zealand, Philippines, Republic of Korea, Singapore, Thailand, and Vietnam.

[3] ASEAN members: Brunei, Cambodia, Indonesia, Lao PDR, Malaysia, Myanmar, Philippines, Singapore, Thailand, Timor-Leste, and Vietnam.

[4] Examples of Asia-Pacific initiatives advancing digital trade rules include the Digital Economy Partnership Agreement (2020) with Singapore, New Zealand, Chile, and Republic of Korea; the Australia-Singapore Digital Economy Agreement (2020); the ASEAN Digital Economy Framework Agreement (2025); the Japan-Taiwan Digital Trade Agreement (2025); Asia-Pacific economies have pioneered several green trade frameworks such as the Agreement on Climate Change, Trade and Sustainability (ACCTS) involving New Zealand; the Indo Pacific Economic Framework for Prosperity (IPEF) Clean Economy Agreement; the Asia Zero Emissions Community (AZEC); and the negotiations for the Green Economy Partnership Agreement (GEPA) with New Zealand, Singapore, and Chile. Supply-chain security arrangements include the Indo-Pacific Economic Framework for Prosperity (IPEF) Agreement Relating to Supply Chain Resilience; the Minerals Security Partnership, which includes Asian members India, Japan, and Republic of Korea.

[5] Portal Site of Official Statistics of Japan. "Trade Statistics Data for Japan." https://www.e-stat.go.jp/en/stat-search/files?page=1&toukei=00350300&tstat=000001013141&metadata=1&data=1

[6] Vietnam National Statistics Office. "Preliminary Exports and imports of goods by main countries and territories In 2019." https://www.nso.gov.vn/en/data-and-statistics/2019/11/preliminary-exports-and-imports-of-goods-by-main-countries-and-territories-in-2019/; Vietnam National Statistics Office. "Preliminary Exports and imports of goods by main countries and territories In 2024." https://www.nso.gov.vn/en/data-and-statistics/2024/03/exports-and-imports-value-by-months-of-2024/

[7] Department of Foreign Affairs and Trade of Australia. "Direction of goods and services trade." https://www.dfat.gov.au/trade/trade-and-investment-data-information-and-publications/trade-statistics/trade-time-series-data

[8] Chile, New Zealand, Republic of Korea and Singapore.

[9] Electronic Commerce, Trade in Services, Customs Administration and Trade Facilitation, Competitiveness and Business Facilitation, and Trade and Women's Economic Empowerment. https://www.dfat.gov.au/trade/agreements/in-force/cptpp/joint-ministerial-statement-occasion-ninth-commission-meeting-cptpp#:~:text=We%20decide%20that%2C%20as%20a,out%20in%20a%20timely%20manner

[10] Investment, State-Owned Enterprises, Innovation, Gender Mainstreaming, Economic Coercion, and Market Distorting Practices. https://www.dfat.gov.au/trade/agreements/in-force/cptpp/joint-ministerial-statement-occasion-ninth-commission-meeting-cptpp#:~:text=We%20decide%20that%2C%20as%20a,out%20in%20a%20timely%20manner

[11] China, Costa Rica, Ecuador, Indonesia, Taiwan, Ukraine, Uruguay.